SUNDAY JOY & OAKWOOD

PRELIMINARY PROJECT BUDGET

Detailed allocation and planning assumptions

Prepared for the Executive Team and Funding Stakeholders Indicative total investment, including 10% contingency.

Document detail	Information
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Version	1
Submission date	02 August 2026
Document status	For Review

1 Executive summary

The indicative project investment is AUD $129.8 million, rounded to $130 million. The estimate provides a preliminary allowance for developing and opening an upscale, cashless property comprising 60 hotel rooms and 120 serviced apartments in metropolitan Melbourne.

The base project budget is $118.0 million. A 10% contingency of $11.8 million has been added to manage design development, unforeseen works, escalation and delivery risk

Budget at a glance

Category	Allocation	Purpose
Design and construction	$95.0M	Structure, accommodation fit-out, building services, public areas and commissioning
Furniture, fixtures and equipment	$12.0M	Furniture, appliances, kitchen equipment, technology and operating equipment
Specialist consultants	$7.0M	Architecture, engineering, project management, compliance and specialist advice
HR and workforce preparation	$1.5M	Recruitment, pre-opening payroll, onboarding and training
Logistics and opening readiness	$1.2M	Inventory, linen, supplies, storage and supplier mobilisation
Customer-service strategy	$0.3M	Service training, accessibility and guest-facing technology
Marketing and launch	$1.0M	Campaigns, digital content, partnerships and opening activities
Base project budget	$118.0M	Before contingency
Contingency (10%)	$11.8M	Unexpected works, escalation, delays and design changes
Total indicative investment	$129.8M	Rounded to $130.0M
Category	Allocation	Purpose
Design and construction	$95.0M	Structure, accommodation fit-out, building services, public areas and commissioning

2 Planning assumptions and exclusions

Basis	Planning assumption
Property scale	180 accommodation units: 60 hotel rooms and 120 serviced apartments.
Development basis	New build or substantial development in metropolitan Melbourne.
Operating model	Upscale, cashless hotel and serviced-apartment operation with restaurant/bar, two meeting rooms, co-working space, 24-hour reception and security coverage, and an unstaffed fitness room.
Opening profile	Opening occupancy of approximately 55–60%, increasing toward 70–75% as operations stabilise.
Excluded	Land acquisition, financing costs, taxes where applicable, and post-opening operating losses.
Estimate status	Preliminary planning estimate to be refined after site selection, design development, quantity-surveyor review and supplier quotations.

3 Design and construction

This allocation covers the principal physical development, services installation and handover activities.

Cost item	Allocation
Site preparation and structural construction	$25.0M
Hotel-room and serviced-apartment fit-out	$34.0M
Electrical, plumbing, HVAC and fire systems	$16.0M
Restaurant, meeting rooms, public and back-of-house areas	$10.0M
Contractor preliminaries and site management	$6.0M
Testing, commissioning and handover	$4.0M
Design and construction total	$95.0M

4 Furniture, fixtures and equipment

The FF&E allowance covers guest accommodation, shared facilities, hotel technology and essential operational equipment.

3.2 Scope boundaries

Cost item	Allocation
Room and apartment furniture and appliances	$6.5M
Restaurant, kitchen, bar and meeting-room equipment	$2.2M
Wi-Fi, POS, key-card access, CCTV and security systems	$1.5M
Fitness, housekeeping and maintenance equipment	$0.8M
Delivery, installation and opening spares	$1.0M
FF&E total	$12.0M

5 Specialist consultants

Consultants will support design, technical compliance, procurement, cost control and specialist operational requirements.

Cost item	Allocation
Architecture and interior design	$1.7M
Structural and building-services engineering	$1.8M
Project and cost management	$1.5M
Fire, accessibility, security, technology and kitchen advice	$0.8M
Approvals, legal advice, certification and testing	$1.2M
Specialist consultants total	$7.0M

6 HR and workforce preparation

The workforce allowance supports staged recruitment and readiness activities before the hotel begins trading.

Cost item	Allocation
Hotel leadership recruitment	$0.30M
Operational workforce recruitment	$0.25M
Pre-opening payroll and temporary support	$0.50M
Onboarding and compliance checks	$0.15M
General induction and operational training	$0.20M
Uniforms, HR systems and training materials	$0.10M
HR and workforce preparation total	$1.50M

Key advantages / limitations	[Insert]

6 Logistics and opening readiness

This allocation establishes the initial inventory, supplier arrangements and physical resources needed to open safely and consistently.

Cost item	Allocation
Opening inventory and consumables	$0.30M
Linen and laundry mobilisation	$0.20M
Food, beverage and apartment starter packs	$0.18M
Housekeeping, storage and handling equipment	$0.20M
Supplier, delivery and waste-management setup	$0.12M
Testing, spare stock and opening mobilisation	$0.20M
Logistics and opening readiness total	$1.20M

7 Customer-service strategy

The customer-service allocation supports personalised hospitality, accessible service and guest-facing systems.

Cost item	Allocation
Personalised-service and accessibility training	$0.12M
Digital check-in, communication and feedback systems	$0.13M
Service testing and opening-quality assurance	$0.05M
Customer-service strategy total	$0.30M

8 Marketing and launch

Marketing expenditure will establish awareness, support bookings and position the new branch within its selected market.

Cost item	Allocation
Opening campaign and advertising	$0.35M
Website, booking content and photography	$0.25M
Public relations and opening events	$0.20M
Partnerships, collateral and opening offers	$0.20M
Marketing and launch total	$1.00M

9 Contingency and budget control

A contingency equal to 10% of the $118.0 million base project budget has been included. This allowance is intended for uncertainty rather than additional discretionary scope.

Measure	Amount	Basis
Base project budget	$118.0M	Approved cost categories before contingency
Contingency rate	10%	Applied to the base project budget
Contingency allowance	$11.8M	Design development, unforeseen works, escalation and delivery risks
Total indicative investment	**$129.8M**	**Rounded to $130.0M for presentation**
Measure	**Amount**	**Basis**

9.1 Budget governance principles

Control	Application
Cost validation	Engage a quantity surveyor once a site and concept design are available.
Stage approvals	Reconfirm the budget at concept design, developed design, tender and pre-construction stages.
Contingency control	Release contingency only through documented approval and maintain a live contingency register.
Change control	Record the budget, schedule and operational effect of every proposed scope change.
Operational alignment	Coordinate construction, procurement, recruitment and opening-readiness expenditure against the master programme.

Week 1	Team agreement, scope confirmation, research plan and task allocation.	Ling / Team	Approved agreement and Trello plan.
Week 2	Location research and first drafts of departmental plans.	All coordinators	Evidence uploaded and reviewed.
Week 3	Location recommendation, integrated budget, schedule and risk review.	Ling / Team	Near-final report and rehearsal draft.
Week 4	Quality review, formal presentation, stakeholder questions and handover.	Whole team	Final report, slides and meeting record.

Benchmark context

The total is an early planning allowance, not a certified cost plan. The working figure was selected after comparing the proposed scale with published Melbourne hotel construction benchmarks. The final cost may change materially with the selected site, planning conditions, building height, apartment sizes, basement requirements, design quality, procurement strategy and market conditions.

Approval status

Status: Preliminary planning estimate for executive and funder discussion. It should not be used as a construction commitment, procurement authority or funding approval until independently reviewed and updated for the selected site and defined scope.